

For BIR BCS/
Use Only Item:Republic of the Philippines
Department of Finance
Bureau of Internal Revenue

BIR Form No.

1702-RT

January 2018(ENCS)

Page 1

Annual Income Tax Return

Corporation, Partnership and Other Non-Individual

Taxpayer Subject Only to REGULAR Income Tax Rate

Enter all required information in CAPITAL LETTERS. Mark applicable boxes with an "X".

Two copies MUST be filled with the BIR and one held by the taxpayers.



1702-RT 01/18ENCS P1

1 For ☒ Calendar ☐ Fiscal

2 Year Ended (MM/20YY)

12 - December 20 24

3 Amended Return?

☒ Yes ☐ No

4 Short Period Return

☐ Yes ☒ No

5 Alphanumeric Tax Code (ATC)

IC 055-Minimum Corporate Income Tax (MCIT)

IC010 - CORPORATION IN GENERAL - JAN 1, 2009

Part I - Background Information

6 Tax Identification Number (TIN)

634

- 563

- 945

- 00000

7 RDO Code

049

8 Registered Name (Enter only 1 letter per box using CAPITAL LETTERS)

RF INSURANCE BROKERS INC.

9 Registered Address (Indicate complete address. If the registered address is different from the current address, go to the RDO to update registered address by using BIR Form No. 1905)

UNIT 14B PETRON MEGAPLAZA BUILDING 358 SEN GIL PUYAT AVE., BEL-AIR, MAKATI CITY

9A ZIP Code 1209

10 Date of Incorporation/Organization (MM/DD/YYYY)

09/06/2023

11 Contact Number

87404984

12 Email Address cmvbusiness.agency@yahoo.com

13 Method of Deductions

☒ Itemized Deductions [Section 34 (A-J), NIRC]☐ Optional Standard Deduction (OSD) - 40% of Gross Income [Section 34(L), NIRC as amended]**Part II - Total Tax Payable**

(Do NOT enter Centavos; 49 Centavos or Less drop down; 50 or more round up)

14 Tax Due

0

15 Less: Total Tax Credits/Payments

0

16 Net Tax Payable (Overpayment) (Item 14 Less Item 15)

0

Add: Penalties

17 Surcharge

0

18 Interest

0

19 Compromise

0

20 Total Penalties (Sum of Items 17 to 19)

0

21 TOTAL AMOUNT PAYABLE (Overpayment) (Sum of Items 16 and 20)

0

If Overpayment, mark one(1) box only (Once the choice is made, the same is irrevocable)

☐ To be refunded☐ To be issued a Tax Credit Certificate (TCC)☐ To be carried over as a tax credit for next year/quarter

We declare under the penalties of the provisions of the National Internal Revenue Code, that all its attachments, have been made in good faith, verified by us, and to the best of our knowledge and belief, are true and correct, pursuant to the regulations issued under authority thereof. (If signed by an Authorized Representative, indicate TIN and attach authorization letter)

REX MAKIA A. MENDOZA

Signature over Printed Name of President/Principal Officer/Authorized Representative

Signature over Printed Name of Treasurer/Assistant Treasurer

22 Number of Attachments

000

Title of Signatory President

TIN

Title of Signatory

TIN

Part III - Details of Payment

Particulars

Drawee Bank/ Agency

Number

Date(MM/DD/YYYY)

Amount

23 Cash/Bank Debit Memo

0

24 Check

0

25 Tax Debit Memo

0

26 Others(Specify Below)

0

Machine Validation/Revenue Official Receipt Details [if not filed with an Authorized Agent Bank(AAB)]

Stamp of Receiving Office/AAB and Date of Receipt (RO's Signature/Bank Teller's Initial)

BIR Form No. 1702-RT January 2018(ENCS) Page 2	Annual Income Tax Return Corporation, Partnership and Other Non-Individual Taxpayer Subject Only to REGULAR Income Tax Rate	 1702-RT 01/18ENCS P2
Taxpayer Identification Number(TIN) 634 563 945 00000		Registered Name RF INSURANCE BROKERS INC.
Part IV - Computation of Tax (DO NOT enter Centavos; 49 Centavos or Less drop down; 50 or more round up)		
27 Sales/Revenues/Receipts/Fees		71,210
28 Less: Sales Returns, Allowances and Discounts		0
29 Net Sales/Revenues/Receipts/Fees (Item 27 Less Item 28)		71,210
30 Less: Cost of Sales/Services		52,000
31 Gross Income from Operation (Item 29 less Item 30)		19,210
32 Add: Other Taxable Income Not Subjected to Final tax		0
33 Total Taxable Income (Sum of Items 31 and 32)		19,210
Less: Deductions Allowable under Existing Law		
34 Ordinary Allowable Itemized Deductions		282,699
35 Special Allowable Itemized Deductions		0
36 NOLCO (Only for those taxable under Sec. 27(A to C); Sec. 28(A)(1)(A)(6)(b) of Tax code, as amended)		0
37 Total Deductions (Sums of Items 34 to 36)		282,699
OR [in case taxable under Sec 27(A) & 28(A)(1)]		
38 Optional Standard Deduction (OSD) (40% of Item 33)		0
39 Net Taxable Income/(Loss) If Itemized: Item 33 Less Item 37; If OSD: Item 33 Less Item 38		(263,489)
40 Applicable Income Tax Rate		20 %
41 Income Tax Due other than Minimum Corporate Income Tax(MCIT) (Item 39 x Item 40)		0
42 MCIT Due (2% of Item 33)		0
43 Tax Due (Normal Income Tax Due in Item 41 OR the MCIT Due in Item 42, whichever is higher)		0
Less: Tax Credits/Payments(attach proof)		
44 Prior Year's Excess Credits Other Than MCIT		0
45 Income Tax Payment under MCIT from Previous Quarter/s		0
46 Income Tax Payment under Regular/Normal Rate from Previous Quarter/s		0
47 Excess MCIT Applied this Current Taxable Year		0
48 Creditable Tax Withheld from Previous Quarter/s per BIR Form No. 2307		0
49 Creditable Tax Withheld per BIR Form No. 2307 for the 4th Quarter		0
50 Foreign Tax Credits, if applicable		0
51 Tax Paid in Return Previously Filed, if this is an Amended Return		0
52 Special Tax Credits		0
Other Credits/Payments (Specify)		
53		0
54		0
55 Total Tax Credits/Payments (Sum of Items 44 to 54)		0
56 Net Tax Payable (Overpayment) (Item 43 Less Item 55)		0
Part V - Tax Relief Availment		
57 Special Allowable Itemized Deductions (Item 35 of Part IV x Applicable Income Tax Rate)		0
58 Add: Special Tax Credits		0
59 Total Tax Relief Availment (Sum of Items 57 & 58)		0

BIR Form No. 1702-RT January 2018(ENCS) Page 3	Annual Income Tax Return Corporation, Partnership and Other Non-Individual Taxpayer Subject Only to REGULAR Income Tax Rate	 1702-RT 01/18ENCS P3
Taxpayer Identification Number(TIN) 634 563 945 00000		Registered Name RF INSURANCE BROKERS INC.
Part VI - Schedules (DO NOT enter Centavos; 49 Centavos or Less drop down; 50 or more round up)		
Schedule I - Ordinary Allowable Itemized Deductions (Attach additional sheet/s if necessary)		
1 Amortization		0
2 Bad Debts		0
3 Charitable and Other Contributions		0
4 Depletion		0
5 Depreciation		0
6 Entertainment, Amusement and Recreation		3,491
7 Fringe Benefits		0
8 Interest		0
9 Losses		0
10 Pension Trusts		0
11 Rental		0
12 Research and Development		0
13 Salaries, Wages and Allowances		208,000
14 SSS, GSIS, Philhealth, HDMF and Other Contributions		26,803
15 Taxes and Licenses		9,966
16 Transportation and Travel		0
17 Others(Deductions Subject to Withholding Tax and Other Expenses) (Specify below; Add additional sheet(s), if necessary)		
a Janitorial and Messengerial Services		0
b Professional Fees		0
c Security Services		0
d INSURANCE		20,666
e OFFICE SUPPLIES		4,473
f MISCELLANEOUS		320
g REPAIR AND MAINTENANCE		8,980
h		0
i		0
18 Total Ordinary Allowable Itemized Deductions (Sum of Items 1 to 17i)		282,699
Schedule II - Special Allowable Itemized Deductions (Attach additional sheet/s, if necessary)		
Description	Legal Basis	Amount
1		0
2		0
3		0
4		0
5 Total Special Allowable Itemized Deductions (Sum of Items 1 to 4)		0

BIR Form No. 1702-RT January 2018(ENCS) Page 4		Annual Income Tax Return Corporation, Partnership and Other Non-Individual Taxpayer Subject Only to REGULAR Income Tax Rate		 1702-RT 01/18ENCS P4	
Taxpayer Identification Number(TIN)			Registered Name		
634 563 945 00000			RF INSURANCE BROKERS INC.		
Schedule III - Computation of Net Operating Loss Carry Over (NOLCO)					
1 Gross Income				19,210	
2 Less: Ordinary Allowable Itemized Deductions				282,699	
3 Net Operating Loss (Item 1 Less Item 2) (To Schedule IIIA, Item 7A)				(263,489)	
Schedule IIIA - Computation of Available Net Operating Loss Carry Over (NOLCO) (DO NOT enter Centavos; 49 Centavos or Less drop down; 50 or more round up)					
Year Incurred		Net Operating Loss A) Amount		B) NOLCO Applied Previous Year/s	
4	2024	263,489		0	
5		0		0	
6		0		0	
7		0		0	
Continuation of Schedule IIIA (Item numbers continue from table above)					
C) NOLCO Expired		D) NOLCO Applied Current Year		E) Net Operating Loss (Unapplied) [E = A Less (B + C + D)]	
4	0	0		263,489	
5	0	0		0	
6	0	0		0	
7	0	0		0	
8	Total NOLCO (Sum of Items 4D to 7D)			0	
Schedule IV - Computation of Minimum corporate Income Tax(MCIT)					
Year	A) Normal Income Tax as Adjusted		B) MCIT		C) Excess MCIT over Normal Income Tax
1	0		0		0
2	0		0		0
3	0		0		0
Continuation of Schedule IV (Item numbers continue from table above)					
D) Excess MCIT Applied/Used in Previous Years		E) Expired Portion of Excess MCIT		F) Excess MCIT Applied this Current Taxable Year	
G) Balance of Excess MCIT Allowable as Tax Credit for Succeeding Year/s [G = C Less (D + E + F)]					
1	0	0		0	
2	0	0		0	
3	0	0		0	
4	Total Excess MCIT Applied (Sum of Items 1F to 3F)			0	
Schedule V - Reconciliation of Net Income per Books Against Taxable Income (Attach additional sheet/s, if necessary)					
1 Net Income/(Loss) per Books				(263,489)	
Add: Non-deductible Expenses/Taxable Other Income					
2				0	
3				0	
4 Total (Sum of Items 1 to 3)				(263,489)	
Less: A) Non-Taxable Income and Income Subjected to Final Tax					
5				0	
6				0	
B) Special Deductions					
7				0	
8				0	
9 Total (Sum of Items 5 to 8)				0	
10 Net taxable Income (Loss) (Item 4 Less Item 9)				(263,489)	

Tax Return Receipt Confirmation

From: ebirforms-noreply@bir.gov.ph

To: cmvbusiness.agency@yahoo.com

Date: Friday, June 20, 2025 at 04:54 PM GMT+8

This confirms receipt of your submission with the following details subject to validation by BIR:

File name: 634563945000-1702RTv2018C-122024V1.xml

Date received by BIR: 18 June 2025

Time received by BIR: 04:04 PM

Penalties may be imposed for any violation of the provisions of the NIRC and issuances thereof.

FOR RETURNS WITH TAX PAYABLE:

Please pay through any of the following ePayment Channels:

Land Bank of the Philippines Link.BizPortal

- LBP ATM Cards
- Bancnet ATM/Debit Cards
- PCHC PayGate or PESONeT (RCBC, Robinsons Bank, UnionBank, PSBank, BPI, Asia United Bank)

DBP PayTax Online

- Credit Cards (MasterCard/Visa)
- Bancnet ATM/Debit Cards

Unionbank of the Philippines

- Unionbank Online (for Unionbank Individual and Corporate Account Holders)
- UPAY via InstaPay (For Individual Non-Unionbank Account Holders)

Taxpayer Agent/ Tax Software Provider-TSP

- (Gcash/PayMaya/MyEG)

This is a system-generated email. Please do not reply.

Bureau of Internal Revenue

Fwd: Fw: Your BIR AFS eSubmission uploads were received

Jeanifer Landicho <jen.landicho@rampver.com>

15 July 2025 at 09:07

To: CATALINA VILLANUEVA <cmvbusiness.email@gmail.com>, Yahoo <cmvbusiness@yahoo.com.ph>

ATTN: MS. ZENY

For your reference and kind handling.

Thank you,
Jen**JEN LANDICHO, AFP**

Assistant Manager II, Treasury Operations

jen.landicho@rampver.com

+63 921 6242646

Telephone: +632 8867 1176 | +632 8646-0422

Address: 14B Petron Megaplaza,
Buendia Avenue, Makati City 1227

Empowering you for financial success.

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----- Forwarded message -----

From: rfinsurancebrokersinc@summitoneph.com <rfinsurancebrokersinc@summitoneph.com>

Date: Tue, Jul 15, 2025 at 9:04 AM

Subject: Fw: Your BIR AFS eSubmission uploads were received

To: jen.landicho@rampver.com <jen.landicho@rampver.com>Cc: yen.gomintong@rampver.com <yen.gomintong@rampver.com>**From:** eaafs@bir.gov.ph <eaafs@bir.gov.ph>**Sent:** Friday, 11 July 2025 11:52 am**To:** RFINSURANCEBROKERSINC@SUMMITONEPH.COM <RFINSURANCEBROKERSINC@SUMMITONEPH.COM>**Cc:** RFINSURANCE@SUMMITONEPH.COM <RFINSURANCE@SUMMITONEPH.COM>**Subject:** Your BIR AFS eSubmission uploads were received

Hi RF INSURANCE BROKERS INC.,

Valid files

- EAFS634563945AFSTY122024.pdf
- EAFS634563945ITRTY122024.pdf

Invalid file

- <None>

Transaction Code: **AFS-0-PVQ1TQY40PPVSVRWXMNQ24YXM067K8HBEH**Submission Date/Time: **Jul 11, 2025 11:52 AM**Company TIN: **634-563-945**

Please be reminded that you accepted the terms and conditions for the use of this portal and expressly agree, warrant and certify that:

F C Godinez Accounting Services

AMENDED

R F INSURANCE BROKERS, INC.

**FINANCIAL STATEMENTS
DECEMBER 31, 2024 AND 2023**

AND

REPORT OF INDEPENDENT AUDITOR

(IN PHILIPPINE PESO)

CONTENTS:

STATEMENT OF MANAGEMENT RESPONSIBILITY FOR FINANCIAL STATEMENTS

STATEMENT OF MANAGEMENT RESPONSIBILITY FOR INCOME TAX RETURN

REPORT OF INDEPENDENT AUDITOR TO ACCOMPANY INCOME TAX RETURN

STATEMENT OF REPRESENTATION

SUPPLEMENTAL REPORT OF INDEPENDENT AUDITOR

**REPORT OF INDEPENDENT AUDITOR TO ACCOMPANY SUPPLEMENTAL INFORMATION FOR FILING
WITH THE INSURANCE COMMISSION**

REPORT OF INDEPENDENT AUDITOR

STATEMENT OF FINANCIAL POSITION

STATEMENT OF COMPREHENSIVE INCOME

STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY

STATEMENT OF CASH FLOWS

NOTES TO FINANCIAL STATEMENTS



RF INSURANCE
BROKERS, INC.

RF Insurance Brokers Inc.

Unit 14B 14th Floor, Petron MegaPlaza Building,
358 Sen. Gil J. Puyat Ave., Makati City
Telephone Nos.: (02) 8646-0422
TIN: 634-563-945-00000

AMENDED

**STATEMENT OF MANAGEMENT RESPONSIBILITY
FOR FINANCIAL STATEMENTS**

The Management of **R F Insurance Brokers, Inc.** is responsible for the preparation and fair presentation of the financial statements including schedules attached therein for the year ended December 31, 2024, in accordance with the prescribed financial reporting framework indicated therein, and for such internal control as management determines is necessary to enable the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's financial ability to continue as a going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

The Board of Directors reviews and approves the financial statements including the schedules attached therein, and submits the same to the stockholders.

Francisca C. Godinez, CPA, MBA, the independent auditor, appointed by the board of directors, has audited the financial statements of the company in accordance with Philippine Standards on Auditing, and in its reports to the stockholders, have expressed its opinion on the fairness of presentation upon completion of such audit.


REX MARIA A. MENDOZA
President


ENRIQUE ROMEO G. MENDOZA
Treasurer

June 09, 2025
Makati City



RF INSURANCE
BROKERS, INC.

RF Insurance Brokers Inc.

Unit 14B 14th Floor, Petron MegaPlaza Building,
358 Sen. Gil J. Puyat Ave., Makati City
Telephone Nos.: (02) 8646-0422
TIN: 634-563-945-00000

AMENDED

**STATEMENT OF MANAGEMENT RESPONSIBILITY
FOR ANNUAL INCOME TAX RETURN**

The management of **R F Insurance Brokers, Inc.** is responsible for all information and representations contained in the Annual Income Tax Return for the years ended December 31, 2024 and 2023. Management is likewise responsible for all the information and representations contained in the financial statements accompanying the Annual Income tax Return Information Sheet covering the same reporting period. Furthermore, the management is responsible for all the information and representations contained in all other tax returns filed for the reporting period, including, but not limited to the value added tax and/or percentage tax returns, withholding tax returns, documentary stamp tax returns and any and all other tax returns.

In this regard, the Management affirms that the attached audited financial statements for the years ended December 31, 2024 and 2023 and the accompanying Annual Income Tax Returns are in accordance with the books and records of **R F Insurance Brokers, Inc.** complete and correct in all material respects. Management likewise affirms that:

- a. The Annual Income Tax Return has been prepared in accordance with the provisions of the National Internal Revenue Code, as amended, and pertinent tax regulations and other issuances of the Department of Finance and the Bureau of Internal Revenue;
- b. Any disparity of figures in the submitted reports arising from the preparation of financial statements pursuant to financial accounting standards and the preparation of the income tax return pursuant to tax accounting rules has been reported as reconciling items and maintained in the company's books and records in accordance with the requirements of Revenue Regulations No.8-2007 and other relevant issuances;
- c. The **R F Insurance Brokers, Inc.** has filed all applicable tax returns, reports and statements required to be filed under Philippine tax laws for the reporting period, and all taxes and other impositions shown thereon to be due and payable have been paid for the reporting period, except those contested in good faith.


REX MARIA A. MENDOZA
President


ENRIQUE ROMEO G. MENDOZA
Treasurer

June 09, 2025
Makati City

F C Godinez Accounting Services

AMENDED

REPORT OF INDEPENDENT AUDITOR TO ACCOMPANY INCOME TAX RETURN

F C Godinez Accounting Services
Lot 2, Blk 6, St. Lukes Street, Sto. Nino Village,
Tunasan, Muntinlupa City
Phone (632) 861-8603
Email: fressie_godinez@yahoo.com
www.alasoplasalliancefirms.com



The Board of Directors
R F INSURANCE BROKERS, INC.
Unit 14B 14th Flr Petro Megaplaza Bldg., 358 Sen. Gil Puyat Ave.
Bel Air, Makati City

I have examined the financial statements **R F Insurance Brokers, Inc.** for the year ended December 31, 2024 on which I have rendered the attached report dated June 09, 2025.

In compliance with Revenue Regulation V-20, I am stating that I am not related by consanguinity or affinity to the president, manager or stockholders of the company.

In compliance with SRC Rule 68, I am stating that the said company has a total number of one (1) stockholder owning one hundred (100) or more shares each.

F C GODINEZ ACCOUNTING SERVICES

Francisca C. Godinez CPA, MBA

CPA Reg. No. 0041278

PRC ID Valid until December 03, 2025

TIN 116-256-845-000

PTR no. MCF 4778910 January 15, 2025, Muntinlupa City

BIR AN 08-003576-001-2025 valid until February 25, 2028

BOA Cert. No. 0779 valid until December 03, 2025

CDA Accreditation no. CEA 003- Renewal valid until April 25, 2026

SEC Accreditation no. 41278-IC for Category B valid for audit year 2021 to 2025

June 09, 2025
Muntinlupa City

F C Godinez Accounting Services

AMENDED

STATEMENT OF REPRESENTATION

TO THE SECURITIES AND EXCHANGE COMMISSION:

In connection with my examination of the financial statements of **R F Insurance Brokers, Inc.** as of December 31, 2024 which will be submitted to the Commission, I hereby represent the following:

1. That said financial statements are presented in conformity with Philippine Financial Reporting Standards (PFRS) in all cases where I shall express an unqualified opinion. Except that in case of any departure from such standards, I shall indicate the nature of the departure, the effects thereof, and the reasons why compliance with the standards would result in a misleading statement, if such is fact;
2. That I shall fully meet the requirements of Independence as provided for in Section 14 of the Code of Professional Ethics for CPAs;
3. That in the conduct of the audit, I shall comply with the Philippine Standards in auditing promulgated by the Board of Accountancy. In case of my departure from such standards or any limitation in the scope of my examination, I shall indicate the nature of departure and the extent of limitation, the reasons thereof on the expression of my opinion or which may necessitate the negation of the expression of an opinion;
4. That relative to the expression of my opinion on the said financial statements, I shall not commit any acts discreditable to the profession as provided for in Section 23 of the Code of Professional Ethics for CPAs;
5. That I am in active practice of the accounting profession and duly registered with the Board of Accountancy; and
6. That I shall comply with the Securities and Exchange Commission in the preparation and submission of financial statements.

As a CPA engaged in public practice, I make representations in my individual capacity.

F C GODINEZ ACCOUNTING SERVICES



Francisca C. Godinez CPA, MBA

CPA Reg. No. 0041278

PRC ID Valid until December 03, 2025

TIN 116-256-845-000

PTR no. MCF 4778910 January 15, 2025, Muntinlupa City

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June 09 2025

Muntinlupa City

F C Godinez Accounting Services
Lot 2, Blk 6, St. Lukes Street, Sto. Nino Village,
Tunasan, Muntinlupa City
Phone (632) 861-8603
Email: fressie_godinez@yahoo.com
www.alasoplasalliancefirms.com

Member of
 Alas Oplas Alliance Firms

F C Godinez Accounting Services

AMENDED

SUPPLEMENTAL STATEMENTS OF INDEPENDENT AUDITOR

F C Godinez Accounting Services
Lot 2, Blk 6, St. Lukes Street, Sto. Nino Village,
Tunasan, Muntinlupa City
Phone (632) 861-8603
Email: fressie_godinez@yahoo.com
www.alasoplasalliancefirms.com



The Board of Directors and Stockholders
R F INSURANCE BROKERS, INC.
Unit 14B 14th Flr. Petron Megaplaza Bldg. 358 Sen. Gil Puyat Ave.
Bel Air, Makati City

I have examined the financial statements of **R F Insurance Brokers, Inc.** for the year ended December 31, 2024, on which I have rendered the attached report dated June 09, 2025.

In compliance with Securities Regulation Code Rule 68, I have performed audit procedures to determine the total number of stockholders of the Company owning 100 or more shares each. I was able to obtain a certification from the Company's Corporate Secretary indicating that the Company has a total number of one (1) stockholder owning one hundred (100) or more shares as of December 31, 2024.

F C GODINEZ ACCOUNTING SERVICES



Francisca C. Godinez CPA, MBA
CPA Reg. No. 0041278
PRC ID Valid until December 03, 2025
TIN 116-256-845-000
PTR no. MCF 4778910 January 15, 2025, Muntinlupa City
BIR AN 08-003576-001-2025 valid until February 25, 2028
BOA Cert. No. 0779 valid until December 31, 2025
CDA Accreditation no. CEA 003- Renewal valid until April 25, 2026
SEC Accreditation no. 41278-IC for Category B valid for audit year 2021 to 2025

June 09, 2025
Muntinlupa City

F C Godinez Accounting Services

AMENDED

F C Godinez Accounting Services
Lot 2, Blk 6, St. Lukes Street, Sto. Nino Village,
Tunasan, Muntinlupa City
Phone (632) 861-8603
Email: fressie_godinez@yahoo.com
www.alasoplasalliancefirms.com

REPORT OF THE INDEPENDENT AUDITOR TO ACCOMPANY SUPPLEMENTARY INFORMATION FOR FILING WITH THE INSURANCE COMMISSION

Member of
 Alas Oplas Alliance Firms
credibility and honor defined.

The Board of Directors and Stockholders
R F Insurance Brokers, Inc.
Unit 14B 14th Flr Petron Megaplaza Bldg., 358 Sen. Gil Puyat Ave.
Bel Air, Makati City

I have audited in accordance with the Philippine Standards in Auditing the financial statements of **R F Insurance Brokers, Inc.** as at and for the year ended December 31, 2024. My audit was made for the purpose of forming an opinion on the financial statements of the Company taken as a whole. The minimum information attached is the responsibility of the Company's management and is presented for the purposes of complying with the Insurance Commission Circular letter No. 2021-65 and is not a requirement as part of the basic financial statements. Such supplementary information has been subjected to the auditing procedures applied in the audit of the Company's financial statements and in my opinion is fairly stated in all material respects in relation to the financial statements taken as a whole.

F C GODINEZ ACCOUNTING SERVICES


Francisca C. Godinez CPA, MBA
CPA Reg. No. 0041278
PRC ID valid until December 03, 2025
TIN 116-256-845-000
PTR No.MCF 4778910, January 15, 2025, Muntinlupa City
BIR AN 08-003576-001-2025, valid until February 25, 2028
BOA Cert. No. 0779 valid until December 03, 2025
CDA Accreditation No.CEA 003 Renewal valid until April 25, 2026
SEC Accreditation no. 41278-IC For Category B valid for audit year 2021 to 2025

June 09, 2025
Muntinlupa City

“ANNEX A”

R F INSURANCE BROKERS INC.

ATTACHMENT TO THE SUPPLEMENTARY OPINION

CLIENTS MONEY

As at December 31, 2024 the Company has no client's money. The Company just started the operation in July, 2024 and also the date they have received license from the Insurance Commission (IC).

NET WORTH COMPLIANCE

The Company is required to comply with the minimum requirement for an Insurance Broker and HMO amounting to Php25,000,000 per IC Circular Letter no. 2023-02

As at December 31, 2024, the Company's net worth is Php 19,468,869. Upon reviewing the total cash in bank, I found there is Time Deposit at Amalgamated Investment Bancorporation (AIB) amounting to P20,154,519.30 dated December 04, 2024 to January 03, 2025. It was transferred/renewed to Bank of the Philippine Island (BPI) opened as Time Deposits (TDs) dated June 02, 2025 to July 7, 2025 amounting to Php20,001,864.02; Php5,033,416.76 and Php1,008,361.16. With these Time Deposits totaling P26,043,641.94, the Company is compliant with the minimum net worth requirement set forth by the Insurance Commission.

F C Godinez Accounting Services

AMENDED

INDEPENDENT AUDITOR'S REPORT

The Board of Directors and Stockholders
R F INSURANCE BROKERS, INC.
Unit 14B 14th Flr. Petron Megapla Bldg., 358 Sen. Gil Puyta Ave.
Bel Air, Makati City

F C Godinez Accounting Services
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Email: fressie_godinez@yahoo.com
www.alasoplasalliancefirms.com



Member of
Alas Oplas Alliance Firms
credibility and honor defined.

Report on the Audit of the Financial Statements

Opinion

I have audited the financial statements of **R F Insurance Brokers, Inc.** which comprise the statements of financial position as at December 31, 2024, the statement of income, statement of changes in stockholders' equity and statement of cash flows for the year then ended, and notes to the financial statements, including summary of significant accounting policies.

In my opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with Philippine Financial Reporting Standards (PFRS).

Other Matters

The financial statements for the year ended December 31, 2023 was audited by another independent auditor whose report dated March 31, 2024 rendered an unqualified opinion.

Basis for Opinion

I conducted my audits in accordance with Philippine Standards on Auditing (PSAs). My responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of my report. I am independent of the Company in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to my audit of the financial statements in the Philippines, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the Code of Ethics. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with PFRS, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

F C Godinez Accounting Services

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with PSAs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

Report on Other Legal and Regulatory Requirements

My audit was conducted for the purpose of forming an opinion on the basic financial statements taken as a whole. The supplementary information on taxes and licenses in the notes to the financial statements is presented for the purposes of filing with the Bureau of Internal Revenue and is not required part of the basic financial statements. Such information is the responsibility of management and has been subjected to the auditing procedures applied in my audit of the basic financial statements. In my opinion, the information is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

F C Godinez Accounting Services

F C GODINEZ ACCOUNTING SERVICES



Francisca C. Godinez CPA, MBA

CPA Reg. No. 0041278

PRC ID Valid until December 03, 2025

TIN 116-256-845-000

PTR no. MCF4778910 January 15, 2025, Muntinlupa City

BIR AN 08-003576-001-2025 valid until February 25, 2028

BOA Cert. No. 0779 valid until December 03, 2025

CDA Accreditation no. CEA 0003- Renewal valid until April 25, 2026

SEC Accreditation no. 41278-IC for category B, valid for audit year 2021 to 2025

June 09, 2025

Muntinlupa City

RF INSURANCE BROKERS INC.

Unit 14B Petron Megaplaza Bldg., 358 Sen Gil J. Puyat Ave., Brgy. Bel-Air, Makati City 1209

Comparative Statement of Financial Position
As of December 31,

	<i>Notes</i>	<u>2024</u>	<u>2023</u>
Assets			
Current Assets			
Cash	2,4	P 19,476,012	P 19,732,358
Other current assets	2,5	973	-
Total Current Assets		P 19,476,985	P 19,732,358
Total Assets		P 19,476,985	P 19,732,358
Liabilities and Shareholders' Equity			
Current Liabilities			
Taxes Payable	2,6	P 8,116	-
Shareholders' Equity			
Share Capital	2,8	P 20,000,000	P 20,000,000
Retained Earnings (Deficit)	2,9	(531,131)	(267,643)
Total Shareholders' Equity		19,468,869	19,732,358
Total Liabilities and Shareholders' Equity		P 19,476,985	P 19,732,358
<i>(See accompanying Notes to Financial Statements.)</i>			

RF INSURANCE BROKERS INC.

Unit 14B Petron Megaplaza Bldg., 358 Sen Gil J. Puyat Ave., Brgy. Bel-Air, Makati City 1209

Comparative Statement of Income

For the years ended December 31,

	<i>Notes</i>	<u>2024</u>	<u>2023</u>
Revenue	<i>2,10</i>	P 71,210	-
Less: Cost of Service	<i>2,11</i>	52,000	-
Gross Income		19,210	-
Less: Administrative Expenses	<i>2,12</i>	282,699	267,643
Net Income (Loss)		(263,489)	(267,643)
Earnings per Share	<i>2,16</i>	(0.0)	(0.0)
<i>(See accompanying Notes to Financial Statements.)</i>			

RF INSURANCE BROKERS INC.

Unit 14B Petron Megaplaza Bldg., 358 Sen Gil J. Puyat Ave.,, Brgy. Bel-Air, Makati City 1209

Comparative Statements of Changes on Shareholders' Equity
For the Years ended December 31,

	<i>Notes</i>	<u>2024</u>	<u>2023</u>
Authorized Capital Stock 20,000,000 @ Php 1 par value (Of which 20,000,000 shares are issued and outstanding)	2,8	P 20,000,000	P 20,000,000
Paid up and subscribed Share Capital	2,8	20,000,000	20,000,000
Cumulative Deficits, Beginning	2,9	(267,643)	-
Total Deficits	2,9	(263,489)	(267,643)
Sub-Total	2,9	(531,131)	(267,643)
Balance-December 31		P 19,468,869	P 19,732,358
(See accompanying Notes to Financial Statements.)			

RF INSURANCE BROKERS INC.

Unit 14B Petron Megaplaza Bldg., 358 Sen Gil J. Puyat Ave., Brgy. Bel-Air, Makati City 1209

Comparative Statements of Cash Flows
For the years ended December 31,

	<i>Notes</i>	<u>2024</u>	<u>2023</u>
Cash Flows from Operating Activities			
Net Income (Loss) for the period		<u>(263,489)</u>	(267,643)
(Decrease)/Increase in Current assets			
Other Current Asset	2,5	(973)	-
Increase/(Decrease) in Current Liabilities			
Taxes Payable	2,6	<u>8,116</u>	-
Net cash provided by (used in) operating activities		<u>(256,346)</u>	(267,643)
Cash flows from financing activities			
Share Capital		-	20,000,000
Net cash used in investing activities		-	20,000,000
Total Cash Outflow from Operating Activities		<u>(256,346)</u>	19,732,358
Net Increase (Decrease) in Cash		<u>(256,346)</u>	19,732,358
Cash Balance-January 01	2,4	<u>19,732,358</u>	-
Cash Balance- December 31	2,4	<u>P 19,476,012</u>	<u>P 19,732,358</u>
(See accompanying Notes to Financial Statements.)			

AS OF AND FOR THE YEARS ENDED DECEMBER 3, 2024 and 2023

1. GENERAL INFORMATION

RF INSURANCE BROKERS INC. (The Company) is registered with the Securities and Exchange Commission (SEC) on September 06, 2023 under SEC Registration no.2023090115220-01. The Company was also given Licensed by Insurance Commission per license no. IB 06-2024-0 effective July 26, 2024 and valid until December 31, 2026. The corporation is primarily engaged as an insurance broker or representative for and in behalf of an insured other than himself and/or act in any manner in negotiating contracts of insurance or placing risk or affecting reinsurance for any insurance company.

The principal address is located at Unit 14B Petron Megaplaza Bldg., 358 Sen Gil J. Puyat Ave., Brgy. Bel-Air, Makati City 1209.

The financial statements of the corporation were approved and authorized for issuance by the Board of Directors on February 24, 2025.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Preparation

The accompanying financial statements have been prepared under the historical cost basis. The financial statements are presented in Philippine Peso (₱) which is the Company's functional currency. All amounts are rounded off to the nearest peso, except when otherwise indicated.

Statement of Compliance

The financial statements have been prepared in accordance with the Philippine Financial Reporting Standards (PFRSs). The term PFRSs in general includes all applicable PFRSs, Philippine Accounting Standards and interpretations of the Philippine Interpretations Committee, Standing Interpretations Committee (SIC) and the International Financial Reporting Interpretations Committee (IFRIC) which have been issued by the Philippine Financial and Sustainability Reporting Standards Council including SEC pronouncements.

Changes in Accounting Standards and Disclosures

The accounting policies adopted are consistent with those of the previous financial year except that the Company has adopted the following amended standards as at January 1, 2024. The Company has not early adopted any other pronouncement that has been issued but is not yet effective. Unless otherwise indicated, adoption of these new standards did not have an impact on the financial statements of the Company.

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*
The amendments clarify:
 - That only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
 - That classification is unaffected by the likelihood that an entity will exercise its deferral right.
 - That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.
- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*

The amendments specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in such a way that it does not recognize any gain or loss that relates to the right of use it retains.

- Amendments to PAS 7 and PFRS 7, *Disclosures: Supplier Finance Arrangements*

The amendments specify disclosure requirements to enhance the current requirements, which are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

Future Changes in Accounting Policies

Pronouncements issued but not yet effective as at December 31, 2024 are listed below. The Company intends to adopt the following pronouncements when they become effective. Unless otherwise indicated, adoption of these pronouncements is not expected to have a significant impact on the financial statements of the Company.

Effective beginning on or after January 1, 2025

- Amendments to PAS 21, *Lack of Exchangeability*

The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. When applying the amendments, an entity cannot restate comparative information.

Effective beginning on or after January 1, 2026

- Amendments to PFRS 9 and PFRS 7, *Amendments to the Classification and Measurement of Financial Instruments*

The amendments:

- Introduce an accounting policy option to derecognize financial liabilities that are settled through an electronic payment system before settlement date if certain conditions are met
- Clarify how to assess the contractual cash flow characteristics of financial assets that include environmental, social and governance (ESG)-linked features and other similar contingent features
- Clarify the treatment of non-recourse assets and contractually linked instruments
- Update the disclosure requirements for equity instruments designated at fair value through other comprehensive income

- Amendments to PFRS 9 and PFRS 7, *Contracts Referencing Nature-dependent Electricity*

The amendments:

- Clarify the application of the 'own-use' requirements
- Permit hedge accounting if these contracts are used as hedging instruments
- Add new disclosure requirements to enable investors to understand the effect of these contracts on a company's financial performance and cash flows

Effective beginning on or after January 1, 2027

- PFRS 18, *Presentation and Disclosure in Financial Statements*

PFRS 18 introduces new requirements for presentation within the statement of profit or loss, including specified totals and subtotals. Furthermore, entities are required to classify all income and

expenses within the statement of profit or loss into one of five categories: operating, investing, financing, income taxes and discontinued operations, whereof the first three are new.

PFRS 18 also requires disclosure of newly defined management-defined performance measures, subtotals of income and expenses, and includes new requirements for aggregation and disaggregation of financial information based on the identified 'roles' of the primary financial statements and the notes.

PFRS 18 will apply retrospectively. The Company aims to identify all impacts the amendments will have on the financial statements prior to adoption of PFRS 18.

Deferred Effectivity

- *PFRS 17, Insurance Contracts*

PFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, PFRS 17 will replace PFRS 4, Insurance Contracts. This new standard on insurance contracts applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply.

On December 15, 2021, the FSRSC amended the mandatory effective date of PFRS 17 from January 1, 2023 to January 1, 2025. This is consistent with Circular Letter No. 2020-62 issued by the Insurance Commission (IC) which deferred the implementation of PFRS 17 by two (2) years after its effective date as decided by the IASB.

Further, on February 14, 2025, the FSRSC approved the amendment to PFRS 17 that further defers the date of initial application by an additional two (2) years, to annual periods beginning on or after January 1, 2027. This is consistent with Circular Letter No. 2025-04 issued by the IC on March 11, 2025. Early application is permitted. The Company is currently preparing for the adoption and implementation of the standard.

- *Amendments to PFRS 10, Consolidated Financial Statements, and PAS 28, Investments in Associates and Joint Ventures, Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.

On January 13, 2016, the Financial and Sustainability Reporting Standards Council deferred the original effective date of January 1, 2016 of the said amendments until the International Accounting Standards Board (IASB) completes its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures.

These amendments are not expected to have any significant impact on the Company's financial statements.

Summary of Material Accounting Policies

Current versus Noncurrent Classification

The Company presents assets and liabilities in the statement of financial position based on current/noncurrent classification.

An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realized within twelve months after the reporting period
- or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as noncurrent.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period
- or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Company classifies all other liabilities as noncurrent.

Cash

Cash includes cash on Hand and in banks .

Input Value-Added Taxes

Input VAT pertains to the 12% tax paid by the Company in the course of the Company's trade or business on local purchase of goods or services. These are available for offset against output VAT in subsequent periods.

Creditable Withholding Taxes (CWTs)

CWTs pertain to unapplied taxes withheld on income payments and are creditable against income tax due. The Company determined that the taxes withheld could be recovered in future periods.

Accounts Payable and Accrued Expenses

Accounts payables are liabilities for supplies or services that have been received or provided and have been invoiced or formally agreed with the supplier. Accounts payables are non-interest bearing and are stated at their original invoice amount since the effect of discounting is immaterial.

Accruals are liabilities for goods or services that have been received or provided but have not been paid, invoiced or formally agreed with the supplier, including amounts due to employees.

Related Parties

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control. Related parties may be individuals or corporate entities.

Capital Stock

The Company has issued capital stock that is classified as equity. Incremental costs directly attributable to the issue of new capital stock are shown in equity as a deduction, net of tax, from the proceeds.

Retained Earnings (Deficit)

Retained Earnings (Deficit) includes all current and prior period results of operations as disclosed in the statements of comprehensive income.

Revenue Recognition

Revenue is recognized only when the Company satisfies a performance obligation by transferring control of the promised services to the customer. The following specific revenue recognition criteria must also be met before revenue is recognized.

Commission income

The Company recognizes commission income based on premium billings upon rendition of services to the insured and upon issuance of policies by the insurer. Premiums due from insurer are collectible by the Company for the account of the insurer and are remittable to them within the credit term.

General and Administrative Expenses

Expense is recognized when decrease in future economic benefits related to a decrease in an asset or an increase of a liability has arisen, and expense can be measured reliably. Expenses are recognized in the statement of comprehensive income as they are incurred.

Deferred Income Tax

Deferred income tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying values for financial reporting purposes at the reporting date.

Deferred income tax liabilities are recognized for all taxable temporary differences. Deferred income tax assets are recognized for all deductible temporary differences and the carryforward of any unused tax losses. Deferred income tax assets are recognized to the extent that it is probable that sufficient future taxable profits will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilized.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the deferred income tax asset to be utilized. Unrecognized deferred income tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred income tax assets to be recovered.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Taxes Payables

Taxes payables represent obligations that are immaterial on the face of the financial position. This comprises of the Social Security System, Philhealth, Pag-ibig Payables, Withholding Taxes, Expanded Withholding Taxes, and Percentage Tax due to the Bureau of Internal Revenue.

Income Tax Payable

The corporation adopted the Taxes payable method as allowed by PFRS. This pertains to the current income tax expense less quarterly income tax paid and 2307 certificates prepaid during the year. Current tax liability is recognized if the tax due is higher than the taxes paid in advance during the year. Current tax asset is recognized when the tax paid in advance during the year is higher than the current income tax due. The corporation uses the tax rates enacted by the current law and effective as of reporting date.

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares or options are shown in equity as a deduction from the proceeds, net of tax.

The costs of acquiring corporation's own shares (treasury shares), if any, are shown as a deduction from equity attributable to the shareholders' equity until the shares are cancelled or reissued. When such shares are subsequently sold or reissued, any considerations received (net of directly attributable incremental transaction cost and the related income tax effects) are included in the shareholders' equity.

Deposit on Subscriptions includes cash received by the corporation from the shareholders for additional subscription of shares.

Cumulative Profits (Deficit)

Cumulative Profits (Deficit) or the corporation's related earnings include all current and prior period results as disclosed in the income statement.

Prior Period Adjustments

Prior period adjustments includes prior period errors such as but not limited to omissions from and misstatements in the financial statements for one or more prior periods arising from failure to use, or misuse of reliable information that was available when the financial statements were authorized for issue and could reasonably be expected to have been obtained and taken into account in the preparation of those financial statements. This also includes payment of deficiency taxes from prior years that arise from either mathematical mistakes, oversights or misinterpretation of tax laws, rules and regulations. These deficiency taxes are imposed by government authorities such as the Bureau of Internal Revenue which has jurisdiction over tax laws and implementation of tax rules, as a result to misapplication or misinterpretation of the tax laws, rules and regulation.

Revenue and Expense Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Corporation and the revenue can be reliably measured.

Revenue real estate, buying, developing, subdividing and selling is recognized upon acceptance by the customers and there is no unfulfilled obligation that could affect the customers' acceptance of the products. The significant risk and rewards of ownership of goods has been transferred to the buyer and the corporation does not retain continuing managerial involvement or control over the goods sold.

Bank Interest Income – Interest Income earned for the year, which is net of final withholding tax.

Cost and expenses are recognized in the income statement upon incurred or utilization of the service or at the date they are incurred and its cost or value can be measured reliably.

Operating Lease as Lessee

The owner has entered into operating lease. It represents rental under which substantially all risk and rewards of ownership of the leased assets remain with the lessor. The lessor allows the lessee the unrestricted right to

use the asset during the lease term. The lessee agrees to make periodic payments to the lessor and to maintain the asset. Lease payments are recognized as an expense when they are incurred.

Employee Benefits

Short-term benefits

The corporation recognized a liability net of amounts already paid and an expense for services rendered by employees during the accounting period at undiscounted amount of the benefits. Short-term benefits given by the corporation to its employees include salaries and wages, bonuses and 13th month pay, social security contributions and short-term compensated absences.

Post Employment Benefits

The corporation does not have a formal employee benefit plan but complies with RA 7641 for its post-employment benefits. Employee benefits are not vested.

R.A. 7641 is an act amending article 287 of presidential decree no. 442, as amended, otherwise known as the labor code of the Philippines, by providing for retirement pay to qualified private sector employees in the absence of any retirement plan in the establishment.

Section 1 of Article 287 states that "In case of retirement, the employee shall be entitled to receive such retirement benefits as he have earned under existing laws and any collective bargaining agreement and other agreements: Provided, however, that an employee's retirement benefits under any collective bargaining and other agreements shall not be less than those provided herein. "In the absence of a retirement plan or agreement providing for retirement benefits or employees in the establishment, an employee upon reaching the age sixty (60) years or more, but not beyond sixty-five (65) years which is hereby declared the compulsory retirement age, who has serve at least five (5) years in the said establishment, may retire and shall be entitled pay equivalent to at least one-half (1/2) month salary for every year of service, a fraction of at least six (6) months being considered as one whole year. "Unless the parties provide for broader inclusions, the term one-half (1/2) month salary shall mean fifteen (15) days plus one-twelfth (1/12) of the 13th month pay and the cash equivalent of not more than five (5) days of service incentive leaves. "Retail, service and agricultural establishment or operations employing not more than (10) employees or workers are exempted from the coverage of this provision.

Taxation

Income Tax

The corporation adopts the Taxes Payable Method in recognizing and computing income tax. Provision for Income Tax represents the current income tax due based on the net income from operations subject to corporate income tax applicable. The tax currently payable, also known as Regular Corporate Income Tax (RCIT), is based on taxable profit for the year. Taxable profits differs from net profit as reported in the Statement of Income, because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never deductible. The reconciliation of the corporation's liability, if any, for current tax is calculated using 30% income tax rate from January 1, 2009 onwards under the new EVAT Law R.A. 9337 and Revenue 9337 and Revenue regulation 16-2005. Income tax is recognized in the statements of income except to the extent that it relates to items recognized directly in equity, in which case it is recognized in equity.

The corporation is required to compute for the Minimum Corporate Income Tax (MCIT) based on 2% of Gross Income, which will be compared with the 20% Regular Corporate Income Tax (RCIT). The higher of the MCIT and RCIT will be the Income Tax Due for the year. If MCIT is higher than the RCIT, the tax currently payable for the year is Minimum Corporate Income Tax (MCIT). Taxable profit differs from net profit as reported in the statement of operations because it excludes items of income or expense that re

taxable in other years and it further excludes items that are never taxable or deductible. The reconciliation of the corporation's liability, if any, for current tax is calculated using 2% tax rate from the gross profit or gross income.

Revenue Regulations No. 15-2010

Amending certain provisions of the Revenue Regulations No. 21-2002, as Amended, implementing Section 6 (H) of the Tax Code of 1997, authorizing the Commissioner of Internal Revenue to prescribe additional procedural and/or Documentary Requirements in connection with the Preparation and Submission of Financial Statements Accompanying the Tax Returns.

Section 2 of RR No. 21-2002, as amended, is hereby further amended to insert the following paragraph (e) "In addition to the disclosures mandated under the Philippine Financial Reporting Standards and other standards and/or conversation as may be heretofore be adopted, the Notes to Financial Statements shall include information on taxes, duties and license fees paid or accrued during the year."

Earnings (loss) Per Share

Earnings (loss) per share are determined by dividing net income by the weighted average number of common shares outstanding during the period.

Comparatives

Wherever necessary, comparative figures have been adjusted to conform to the changes in presentation for the current period.

Related Parties

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operating decisions. This includes:

- (1) individual owning, directly through one or more intermediaries, control, or are controlled by, or under common control with the corporation
- (2) associates
- (3) individuals owning, directly or indirectly, an interest in the voting power of the corporation that gives them significant influence by the corporation and close members of the family of any such individuals.

The key management personnel of the corporation are also considered to be related parties.

Subsequent Events

The corporation identifies subsequent events as events that occurred after the balance sheet date but before the date when the financial statements were authorized for issue. Any subsequent events that provide additional information about the corporation's financial position at the balance sheet date are reflected in the financial statements.

Events that are not adjusting events are disclosed in the notes to the financial statements when material.

3. MANAGEMENT'S SIGNIFICANT ACCOUNTING JUDGEMENT AND ESTIMATES

Judgments. The preparation of the corporation's financial statements in conformity with PFRS requires management to make critical accounting estimates and assumptions that affect the amounts reported in the

corporation's financial statements and accompanying notes. It requires management to exercise judgment in the process of applying the corporation's accounting policies. The estimates and assumption used in the corporation's financial statements are based upon management's evaluation of relevant facts and circumstances as of the date of the corporation's financial statements. Actual result could differ from such estimates, judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Estimates. In the application of the corporation's accounting policies, management is required to make judgments, estimates and assumptions about carrying amounts of assets and liabilities that are not easily apparent from other source. The estimates and associated assumption are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates is revised if the revision affects only that the period or in period of revision and future periods if the version affects both current and future periods.

The following represents a summary of the significant estimates and judgments and related impact and associated risks in the corporation's financial statements:

- Allowance for Impairment Losses on Receivables

The corporation assesses whether objective evidence of impairment exist for receivables and due from related parties that are individually significant and collectively for receivables that are not individually significant. Allowance for doubtful accounts is maintained at a level considered adequate to provide for potentially uncollectible receivables. The level of allowance is evaluated by the corporation on certain factors such as the length of the corporation's relationship with the customers/ debtors, average age of accounts and collection experience. The corporation performs a regular review of age and status of these accounts and evaluate if there's a need to maintain this account.

- Estimation of Useful lives of Property & Equipment and Investment Properties

The useful lives of property, plant and equipment and investment properties are estimated based on the period over which the assets are expected to be available for use. The estimated useful lives of property, plant and equipment and other properties are reviewed periodically and are updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of the Corporation's assets. In addition, the estimation of the useful lives of property, plant and equipment is based on corporation's collective assessment of industry practice, internal technical evaluation and experience with similar assets. It is possible, however, that future results of operations could be mentally affected by changes in estimates brought about by changes in factors mentioned above. The amounts and timing of recorded expenses for any period would be affected by changes in these factors and circumstances. A reduction in the estimated useful lives of property, plant and equipment and Investment Properties would increase the recognized expenses and decrease non-current assets.

There is no property and equipment for the year December 31, 2024 and December 31, 2023.

- Asset impairment

The corporation is required to perform an impairment review when certain impairment indicators are present. Purchase accounting requires extensive use of accounting estimates and judgment to allocate the purchase price to the fair market values of the assets and liabilities.

Determining the fair value of property, plant and equipment, Investment and Intangible assets, which require the determination of future cash flows expected to be generated from the continued use and ultimate disposition of such assets, requires the corporation to make estimates and assumptions that

can be mentally affect the financial statements. Future events could cause the corporation to conclude that property, plant and equipment, investment and Intangible assets associated with an acquired business are impaired. Any resulting impairment loss could have a material adverse impact on the financial condition and results of operations.

The preparation of the estimated future cash flows involves significant judgment and estimations. While the corporation believes that its assumptions are appropriate and reasonable, significant changes in the assumptions may mentally affect the assessment of recoverable values and may lead to future additional Impairment charges under PFRS.

The corporation has adopted the cost model approach in determining the carrying value of its properties. However, its monitors the fair value of its assets to determine whether there is any impairment. The amounts and timing of recorded changes in fair value for any period would differ if the corporation made different judgments and estimates or utilized different basis for determining fair value.

No Loss or Impairment on Assets was recognized during the years 2024 and 2023.

- Financial assets and liabilities

The corporation carries most of its financial assets and liabilities at amortized cost. However, it monitors the fair value of its financial assets and liabilities to determine whether there is impairment of value. If the carrying value is relatively lower than the fair value of the financial assets and liabilities, the corporation will then adjust the carrying value of the asset and reflect any changes in the profit or loss and equity.

No Loss or Impairment on Financial Assets and Financial Liabilities was recognized during the years 2024 and 2023.

- Revenue recognition

The corporation's revenue recognition policies require the use of estimates and assumptions that may affect the reported amounts of revenues and receivables. Differences between the amounts initially recognized and actual settlements are taken in the accounts upon reconciliation. However, there is no assurance that such use of estimates may not result to material adjustments in future periods. There were no known trends, events or uncertainties that have had or that are reasonably expected to have a favorable or unfavorable impact on net sales or revenues or income from continuing operation.

There were no material changes in estimates of amounts reported in the current year or changes in estimates of amounts reported in prior financial years.

4. CASH AND CASH EQUIVALENT

This account is composed of:

	2024	2023
Cash in Bank	P 19,456,012	P 19,732,358
Cash on HAND	20,000	--0--
	P 19,476,012	P 19,732,358

Cash in banks represent savings and current deposits in reputable local banks and earn interest at prevailing bank deposit rates.

5. OTHER CURRENT ASSETS

This account is composed of:

	2024	2023
Creditable withholding tax (CWT)	P 973	P -0-
	P 973	P 0-

6. OTHER CURRENT LIABILITIES

This account is composed of:

	2024	2023
SSS/Pagibig/Philhealth Payable	P 4,201	P -0-
Taxes Payable	3,915	--0--
	P 8,116	P -0-

7. RETIREMENT BENEFITS

Under Republic Act No. 7641, known as the New Retirement Law, the Company is required to provide minimum retirement benefits to qualified retiring employees. The Company accrues amounts as retirement benefits in compliance with such law.

The company at present does not have any retirement plan benefit for employees at present but planning to have one as soon as the company is in full operation.

8 and 9. SHARE CAPITAL AND RETAINED EARNINGS (DEFICIT)

This account is composed of:

	2024	2023
Authorized to issue 20,000,000 shares at P1.00/share	P	P
Paid up and Subscribed	20,000,000	20,000,000

Retained Earnings(Deficit)	(531,131)	(267,643)
Balance-December 31	P 19,468,869	P 19,732,357

10. REVENUE

This account is composed of:

	2024	2023
Commission Income	P 71,210	P -0-
	P 71,210	P -0-

11. COST OF SERVICE

This account is composed of:

	2024	2023
Salaries and wages	P 52,000	P -0-
	P 52,000	P -0-

12. ADMINISTRATIVE EXPENSES

This account is composed of:

	2024	2023
Salaries and Wages	P 208,000	P -0-
Insurance	20,666	-0-
Office Supplies	4,473	
SSS/PHILHEATH/PAGIBIG CONTRINUTION	26,803	--0--
Repairs and Maintenance	8,980	-0-
Taxes and Licenses (n0te 12)	9,966	267,643
Representation	3,491	-0-
Miscellaneous	320	
	P 282,699	P 267,643

13. In Compliance with BIR RR15-2010 which requires additional disclosure of Taxes and Licenses paid during the year is presented below:

TAXES AND LICENSES

This account is composed of:

	2024	2023
Business permiot and licenses	P 9,966	P 267,143
BIR Annual registration	-0-	500
	P 9,966	P 267,643

VALUE ADDED TAX (VAT)

	Net Sales	Output paid	Vat
Service Income	P 71,210	P	8,545

INPUT VAT

This account is composed of:

	Total AMount	Input Tax
Beginning balance	P -0-	P -0-
Purchases during the year	38,583	4,630
Vat Paid		3,915
	P	P

The company donot have payment of Documentarty Stamp Tax.

The Company does not have any Tax cases.

14. EVENTS AFTER THE REPORTING PERIOD

On March 26, 2021, the Republic Act (RA) 11534, known as "The Corporate Recovery or Tax incentives for Enterprises Act" (Create Act), was passed into law. The salient provisions of the Create Act applicable to the Company are as follows:

1. Effective July 1, 2020, the corporate income tax rate is reduced from 30% to 20% for domestic corporations with net taxable income not exceeding P5,000,000 and with total assets not exceeding P100,000,000, excluding land on which the particular business entity's office, plant, and equipment are situated during the taxable year for which the tax is imposed at 20%. All other domestic corporations and resident foreign corporations will be subject to 25% income tax;
2. Minimum corporate income tax (MCIT) rate reduced from 2% to 1% effective July 1, 2020, to June 30, 2023; but Effective July 01, 2023 it is back to 2%.
3. Percentage tax reduced from 3% to 1% effective July 1, 2020, to June 30, 2023; and Effective July 01, 2023 it is back to 3%; and
4. The imposition of improperly accumulated earnings is repealed.